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**BEFORE THE
FEDERAL MARITIME COMMISSION
DOCKET No. 17-04
REGULATORY REFORM INITIATIVE**

Comments Submitted by

**NEW YORK NEW JERSEY FOREIGN FREIGHT FORWARDERS & BROKERS
ASSOCIATION, INC.**

On behalf of the Board of Governors and the membership of the New York New Jersey Foreign Freight Forwarders and Brokers Association, Inc. (NYNJFFF&BA), we respectfully submit our comments in response to the Notice of Inquiry under Docket 17-04 for the purpose of identifying existing Federal Maritime Commission (Commission) regulations that are outdated, unnecessary, or ineffective; inhibit job creation; impose excessive costs; or otherwise interfere with regulatory reform initiatives and policies. As one of the oldest U.S. trade associations for licensed ocean freight forwarders, NVOCCs, and Customs Brokers, the NYNJFFF&BA has over 100 regular and 25 industry-related affiliate members. Seventy-five percent of its regular members are licensed OTIs, whose daily operations are heavily impacted by FMC regulations. The entire customer base of the NYNJFFF&BA membership is made up of exporters and importers, who constitute the shipping public.

We applaud the action that the Commission has taken to designate a Regulatory Reform Officer, establish a Regulatory Reform Task Force, and invite comments for repeal, replacement or modification of current regulations. Following are comments submitted in the hope that the

regulatory framework can be viewed with new eyes and understanding of how technology and entrepreneurship has changed the world of shipping.

Removal of Tariff and Tariff Publishing Requirements for OTI NVOCCs

The NYNJFF&BA strongly supports the elimination of the requirement for both ocean common carrier and OTI NVOCCs as common carriers to file and publish tariff rates. (Section 46 CFR Parts 520.1 through 520.12) for the following reasons:

- This requirement serves no useful purpose in today's shipping world. At one time, many decades ago, when cargo was tendered under common carriage terms, it may have protected the public from unfair and discriminatory practices by providing an equal rate to all shippers. Today, rates are negotiated individually with customers, who do not refer to publically available NVOCC tariffs in selecting the company to move their freight. The Commission records are replete with evidence from NVOCCs, shippers, and even tariff publishing companies attesting to the fact that shippers do not avail themselves of the review of tariffs in the process of purchasing of ocean transportation.
- The other salient problem with the requirement of the publishing of tariff rates is its cost. In addition to its cost, there is no resulting benefit from that expense. Again, the Commission's records from many preceding proceedings have clearly established that costs for tariff maintenance ranges from \$20,000 to \$200,000, undetermined costs for staff dedicated to tariff functions, and possibly much more for NVOCCs which have taken the tariff publishing function in-house. This is a government imposed cost with no tangible benefit.
- Shippers usually request quotes from NVOCCs via email, receive a response and make a decision to ship or not to ship. They do not access tariffs. This simple, efficient, and fast

method is working well, regardless of the size of the NVOCC or the volumes handled for any single shipper. Freight is moved at rates determined by mutual commercial agreement. Rates are recorded in a tariff after the agreement is in place and only for purposes of compliance with an outdated regulation. There is no commercial reason on record for adhering to tariff publishing requirements.

- Technology has made it easily possible for shippers to obtain information on market rates and make informed decisions. Accessibility of information in today's internet connected world has removed the risk of shippers being victims of unfair rate practices.
- NVOCCs operate in a highly competitive environment. Shippers have tremendous options to seek rate and service comparisons from well over 5,000 licensed OTI NVOCCs. There are currently electronic ocean freight platforms on the web where competing NVOCCs provide quotes to shippers on a real time basis where the most competitive NVOCC gets the freight. The current marketplace is obviously an environment where tariffs are obstacles and only an after-the-fact regulatory burden in the process.
- The Federal Government should not involve itself in the form, nature, and timing of freight rate agreements between commercial entities. This belongs in the marketplace. In the event of any misunderstanding of the rate, commercial parties make business decisions on how best to resolve these issues. If not, the legal system provides sufficient remedies for commercial disputes. There is no clear federal government function in this environment.
- Maintaining tariffs solely for the purpose of compliance is a cost to NVOCCs without benefit. The resources diverted to tariff maintenance can be better deployed in business development and adding value to the company, which drives economic growth.

- The only visible function of tariff issues is when the Commission staff routinely adds alleged violations of non-published tariffs to other alleged violations, many of which are equally technical in nature. While most NVOCCs currently strive to meet tariff publishing requirements, it has become very difficult, if not impossible, to be completely compliant with this totally unnecessary and inane requirement. Tariff publishing requirements are alive and well only in the assessment of penalties by the Commission.

Removal of tariff filing requirements for NVOCCS will not result in any reduction in competition or be detrimental to U.S. commerce. In fact, it will lead to the opposite result. It will result in a fast moving competitive pricing system. Thus, we would ask that the Commission use its exemption authority to provide immediate relief to OTI NVOCCs by modifying and/or eliminating all tariff publishing requirement from the shipping regulations. We think it important that this relief be included to the extent possible in future statutory changes to the Shipping Act of 1998, as amended. We also note that there are some changes already included in the FMC authorization bills (S. 1119 and H.R. 2593) through an amendment to 46 US Code 40501-40503 which would remove the requirement in 46 U.S. Code § 41104(11) that NVOCCs tendering cargo to ocean common carriers must have “a tariff as required by [section 40501 of this title](#).” We would suggest that the Commission, to the extent it has input in the congressional process, to avoid confusion, also extend the removal of a tariff requirement in 46 U.S. Code § 41104 (11) for NVOCCs that enter service contracts with ocean common carriers.

Removal of NVOCC Negotiated Rate Arrangements

In March 2011, when the Commission published its final rule allowing Negotiated Rate Arrangements (NRA) through an exemption from tariff filing and publication requirements it did so in recognition of “the rapidly changing nature of the current shipping environment” and belief that

“the ability of NVOCCs to enter into NRAs may increase competition and promote commerce by allowing NVOCCs to better serve their shipper customers.” At that time, there were 4,493 licensed OTIs and foreign unlicensed NVOCCs. That number has grown to over 5,300. If anything, competition among NVOCCs has grown. The success of Negotiated Rate Arrangements and their increasing use is because they bring NVOCC operations more closely in line with market behavior. The NYNJFF&BA believes that the Commission should complete the process it started more than six years ago and eliminate the need for for most, if not all regulation of NVOCC rates including the Negotiated Rate Arrangements.

- The same logic for eliminating tariff rate requirements applies to NRAs. In fact, if tariff rate publishing is entirely exempted, the need for NRAs as an exemption to the requirement disappears.
- As a half measure between tariff and market pricing, NRAs are an imperfect solution that do not include economic terms, so important to the customer agreement and the determination of the rate levels. Furthermore, they cannot be amended once cargo is tendered even when both parties agree.
- The NRA is an artificial pricing mechanism, whose form is subject to question. What constitutes a writing or customer acceptance? Does it have to be numbered? Is the effective date clear? NVOCCs are put at risk of non-compliance for details that should not involve government regulation.

Thus, we would ask that the Commission eliminate 46 CFR Part 532 in its entirety. NRAs are unnecessary, impose costs that exceed its benefits, and divert resources that can be better spent in improving customer services. The market will dictate that customers be offered attractive prices to win freight. NVOCCs will have systems to keep track of this. If customers tender freight and are

charged differently disputes will be resolved the same way all business issues are, commercially. In the extreme case, remedy is available through the legal system.

Removal of NVOCC Service Arrangements

NVOCC Service Arrangements (NSAs) are an exemption, under specific conditions, from tariff rate filing and publication requirements. To our knowledge, NSAs are not widely used and are expensive to put in place and maintain. Thus, if tariff rate filing and publication is eliminated there is no need for NSAs to continue to exist. We would ask that 46 CFR Part 531 be completely removed.

Removal of Co-Loading Regulations

The NYNJFFF&BA would like to draw specific attention to 46 CFR Part 520.11 (c) and the need to eliminate this section of the regulations. We question how the shipping public benefits from the following requirements that an NVOCC

- must note in its tariff that it tenders cargo for co-loading per 520.11 (c) (1) (i)
- must note in its tariff the existence of its carrier-to-carrier relationships per 520.11 (c) (1) (ii)
- must describe its co-loading practices and responsibilities when co-loading in a shipper-to-carrier relationship per 520.11 (c) (1) (iii)
- must show on the face of its bill of lading the identity of any other NVOCC to which the shipment has been tendered for co-loading per 520.11 (c) (2).
- Must file a tariff rate and make it available to all shippers when receiving cargo in a shipper-to-carrier relationship from another NVOCC per 520.11 (c) (3). This requirement is inconsistent with the NRA exemption and the definition of an NRA shipper that includes OTIs. Furthermore, in today's world where freight is moving under private agreement, this requirement is outdated.

From years of working relationships with our customers, the shipping public who are theoretically being protected, it is apparent that they do not care about the above co-loading regulations. They only care that the price quoted is acceptable and honored and their freight arrives within the scheduled estimated time frame. None of the above requirements address this concern. Our membership has stated that their tariffs are not being accessed by the public for this or any other purpose.

Due to recent interpretations by Commission staff, co-loading regulations have also become useless and should be eliminated. The Commission staff has taken the legal stance, based on an FMC case, *California v. Yang Ming* (1990), that carrier to carrier agreements are unlawful if the masterloading NVOCC is a party to a service contract. The conclusions of this Commission staff interpretation is that such arrangements are nothing more than unlawfully allowing a non-party to a service contract access to that service contract. There have been some large penalties compromised based on those interpretations. The co-loading rules have, therefore, become useless by enforcement interpretation and should be eliminated. OTIs and their customers should be left free to structure their commercial relationships without federal interference. If one NVOCC markets transportation to another NVOCC, it should be free to do so as between a carrier and a shipper pursuant to the exemptions noted herein.

In fact, the co-loading regulations are currently preventing shippers from being able to move freight at the most advantageous market rates. The regulations are now causing the very situation they were designed to prevent. The co-loading market has matured to a point where smaller co-loaders can be offered attractive spot market prices as a result of volume contracts that master loaders have with steamship lines. If the steamship line agrees to offer a contract with an NVOCC,

who in turn makes its rate available with or without a small markup to other NVOCCs, why does the Commission think that the shipping public will be disadvantaged? In fact, this facility allows smaller NVOCCs to access more favorable rates than they would on their own. This rate advantage is passed on to the ultimate shipper. The terms of the agreement between the NVOCC and the VOCC as well as the NVOCC and its co-loaders, whether they are considered shippers or carriers, should be governed by market forces. The shipper-to-carrier or carrier-to-carrier agreement is a distinction without merit. By the Commission's own definition an NVOCC is a common carrier and a "shipper in its relationship with an ocean common carrier." Co-loading means "the combining of cargo by two or more NVOCCs for tendering to an ocean carrier under the name of one or more of the NVOCCs." If an NVOCC has a service contract with a steamship line, it should be able to quote rates to other NVOCCs as it determines to be practical if allowable under the terms of its contract. This is in the interest of the shipping public.

It is puzzling to see why the Commission has wasted so many resources in controlling carrier-to-carrier versus shipper-to-carrier arrangements. A major and unnecessary confusion exists concerning when NVOCCs who are parties to service contracts can or cannot lawfully offer carrier-to-carrier services to other NVOCCs without violating the Shipping Act of 1998 as amended. This is not clear from the co-loading rules nor any other statutory provisions. We strongly suggest that the Commission do away with the co-loading regulations since they are difficult, if not impossible to interpret consistently, and do not provide any benefit to the shipping public. And lastly, they have become a special arena of focus by the Commission staff.

In other modes of transit, i.e., air freight, trucking, and rail, co-loading is seen as a positive vehicle aiding in lowering prices for the end user and assisting smaller players to access lower rates.

Shippers and consumers benefit from efficiencies and lower rates provided through co-loading. In those segments of the transportation world, there are no complicated rules. Rate agreements are negotiated accepted by the market participants without federal regulations. Those markets have been operating well to the benefit of the shippers without any need for government intervention. Why can't this be the same for goods moving by ocean? The time has come to eliminate the co-loading regulations. It becomes even more imperative if the concept of eliminating tariff filing and publication is recognized.

Historical Tariff Data

In the event that the Commission agrees to eliminate tariff publication/filing for NVOCCs, it should no longer be required to retain historical data that serves no regulatory purpose. Thus, 46 CFR Part 520.10 (a) through (d) should not apply to NVOCCs. U.S. Export Regulations require the retention of export documentation for a period of five years from date of export. This, in addition to responsible business practice should be sufficient in the event information related to a shipment is needed for any purpose.

Freight Forwarding Fees and Compensation

The NYNJFFF&BA believes the following regulations are outdated or impose unnecessary administrative costs.

- The restriction on reduced forwarding fees in consideration of compensation from a common carrier or for any other reason in 46 CFR Part 515.41 no longer seems to hold any relevance. Many ocean carriers have removed or greatly reduced the payment of commissions to forwarders. Forwarding fees are determined by the market and increasingly part of wider set of services offered to shippers as part of end-to-end supply chain management.

- Disclosure of principal is provided to the U.S. Commerce Dept. with the Automated Export System filing prior to departure. It should not be assumed that the forwarder is acting as an NVO if their name is in the shipper's box. We do not see the purpose of retaining 46 CFR Part 515.42 (b).
- Requirements for forwarder's certification and the specific form that must be kept in the shipment files are unnecessary and add additional work to the export process that all parties are trying to streamline. Carriers vet their customers and know if freight is being tendered as a forwarder or as an NVOCC. The Commission has more important issues to focus on than micro-managing the certification of commission payments. The shipping public does not benefit from these requirements.

Summary

The NYNJFF&BA recommends the removal of all tariff, NRA, NSA and co-loading requirements placed on NVOCCs. Technology is rapidly transforming the shipping world. The internet has made information quickly and readily available to shipper, facilitating rate and service comparisons. Rate quotation processes have sped up in a more fast paced world that makes the era of tariff filing and highly structured NRAs obsolete. Growth of intermodalism and third party international logistics companies has reduced ocean freight to one factor in a larger picture of supply chain management. There is a movement toward door-to-door seamless freight transportation across multiple shipment modes with non-OTI service providers taking the lead with the customer. This puts heavily regulated OTIs at a disadvantage. Since most other countries do not place rate and co-loading restrictions on their ocean freight intermediaries U.S. OTIs are at a global disadvantage and saddled with higher operating and liability costs.

De-regulation of the air cargo, trucking, and rail industries since the late 1970s is widely recognized as having increased competition and contributed to economic growth in those sectors. The shipping public is not asking to be returned to the days of rate tariffs when moving goods by air or truck. Likewise, the shipping public will only benefit from de-regulation in maritime transit. The task and cost of complying with the regulations is an immense burden imposed on the OTI community with no recognizable benefits to the shipping public. In fact, in most cases they hinder the commercial process.

The comments in this submission reflect the views of our membership and are submitted in the hope that throughout this important process in reviewing the regulations the Commission will continue to solicit input from the industry.

Executed on July 5, 2017

On Behalf of the NYNJ Foreign Freight Forwarders & Brokers Association, Inc.

A handwritten signature in dark ink, appearing to read "William B. Skinner", followed by a stylized flourish.

William B. Skinner

President

NYNJ Foreign Freight Forwarders & Brokers Association, Inc.